

demand for stable goods, smaller exchanges at the clearing house, an increased amount of idle money and smaller additions to the country's wealth.

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*Experience has shown that it takes about five years for one of these cycles to complete itself.*

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There are local causes likely to be influential. One will be the effects of commitments by existing corporations. It will be found in some cases that railroad earnings for the future have been overestimated and that the decrease in net will cut seriously into the dividend fund. The probability of decreased or passed dividends will have a direct bearing on many stocks. Loss in industrial profits will bring decline in some industrial properties. New railroad building will threaten the stability of some railway properties.

The buying up of existing roads has for its primary object the reduction of competition by centralizing management. This will be effective as far as it goes, and in many cases it will go far. The high valuation which has been placed on stocks purchased for control will, however, be a strong incentive to the building of competing lines. It will be argued that if an existing road is worth par for the common stock for control, a new road in the same general section will be worth something more than the actual cost of construction; hence, can be financed with profit to the builder and then perhaps sold with substantial profit to the owners.

This is sure to become a matter of importance. When it is known that parallel lines are being built from one point to another, the knowledge will have a depressing effect on the securities of existing companies, because it will be said that the new road will either get business and live, in which case it will take business from the old company, or it will have to be bought up, entailing a burden on the old company for the support of mileage not required by the business in that section.